

COLLECTION · BUYERS

Buying a Duplex or Triplex to Live In and Rent Out

Become an owner-occupant while tenants help pay the mortgage

READ BEFORE YOU BEGIN

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2026 Edition

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Become an owner-occupant while tenants help pay the mortgage

What if your first purchase both housed you AND generated income? The plex (duplex, triplex) lets you live in one unit while the others, rented out, reduce your real housing cost. It's one of the best springboards into real estate in Quebec.

This guide explains buying as an owner-occupant: the advantageous down payment, calculating the net cost, an owner's responsibilities, and the pitfalls to avoid with existing tenants.

Each chapter ends with a lined “My notes” page to build YOUR plex project.

Living in one unit and renting out the others: the plex is a renowned springboard into ownership and investment. This guide explains why it's so accessible (owner-occupant financing), how to calculate its real net cost, and what it means to inherit tenants and leases.

Goal: buy a plex knowing both the financial advantages and the landlord responsibilities that come with it.

CHAPTER

Why the plex is an ideal springboard

Understanding the owner-occupant logic.

By occupying one of the units, you benefit from the residential purchase rules (reduced down payment for buildings of 1 to 4 units) while collecting rents. As a result, your net housing cost can be significantly lower than that of an equivalent single-family home.

In the longer term, the plex is an asset that gains value, can be refinanced and can become the first block of a real estate portfolio.

The owner-occupant plex combines the best of both worlds: the advantageous financing rules of residential (1 to 4 units) and rents that ease your mortgage. It's often the most accessible gateway to real estate investment.

EMILIE'S TIP

The owner-occupant plex is often the smartest shortcut to ownership in Quebec: your tenants help repay your mortgage while you build your equity.

CHAPTER

Owner-occupant financing

Taking advantage of the favourable 1-to-4-unit rules.

For a building of 1 to 4 units that you occupy, the minimum down payment is generally much lower than for a purely rental building (5+ units), and the rental income can be partly counted toward your borrowing capacity.

- 2026 edition (to be confirmed): a reduced down payment is possible for an occupied plex of 1 to 4 units.
- Part of the rents can help you qualify for your loan.
- Beyond 4 units (a “commercial” income property), the rules change: higher down payment, profitability analysis.

A mortgage broker used to plexes will help you structure the most advantageous arrangement.

For a building of 1 to 4 units that you live in, the minimum down payment is markedly lower than for a purely rental building (5 units and up). The lender also counts part of the rents toward your borrowing capacity — a powerful lever to confirm with a mortgage broker.

EMILIE'S TIP

Always tell the lender that you WILL OCCUPY a unit: it's that status that unlocks the best down-payment conditions.

CHAPTER

Calculating the real net cost

Knowing how much your home REALLY costs you.

The basic calculation: add up all the building's expenses (mortgage, taxes, insurance, common-area energy, maintenance, reserve) then subtract the rents collected. What remains is your net housing cost.

Don't overlook any expense

- Maintenance reserve (roof, balconies, plumbing): a plex ages over several units.
- Vacancy: budget for periods without a tenant.
- Bad debts: a tenant who doesn't pay does happen sometimes.

A good project stays viable even with a temporary vacancy and a major surprise in the same year.

Calculate the real net cost: add up all the expenses (mortgage, taxes, insurance, common-area energy, maintenance, reserve) then subtract the rents collected. It's that figure — not the listed price — that tells you how much your home REALLY costs, often far less than an equivalent house.

EMILIE'S TIP

Build your calculation carefully: realistic rents, complete expenses, and a margin for vacancy. A plex that only “holds up” if everything is perfect is a fragile plex.

CHAPTER

Existing tenants and leases

Buying a plex also means inheriting its leases.

In Quebec, leases follow the building: by buying, you take over the tenants and their conditions (rent, term). You can't simply “start fresh”. Analyze the leases, the current rents vs the market, and the payment history.

If you wish to occupy a unit that's currently rented, precise rules govern the repossession of a dwelling (deadlines, notices, compensation, grounds). They're strict: look into them before buying while counting on evicting a tenant.

Buying a plex means inheriting its leases: in Quebec, they follow the building. You take over the existing tenants and their conditions (rent, term); you don't start “fresh”.

Examine the leases, the rent history and the payment history BEFORE making an offer.

EMILIE'S TIP

Never buy a plex assuming you'll easily “empty” a unit. Repossession and eviction are heavily regulated in Quebec; confirm the scenario BEFORE the offer.

CHAPTER

Becoming a landlord, concretely

Taking on the manager's role day to day.

- Maintenance and repairs: responsiveness and a dedicated budget.
- Relations with tenants: clear communication, respect for the rules.
- Setting and raising rents: regulated, to be done correctly.
- Record-keeping: leases, receipts, expenses (also useful for taxes).

Being the owner-occupant of a plex is a small business. Well managed, it funds your home and builds your wealth; poorly managed, it becomes a source of stress. The good news: you learn fast, especially with good support.

Becoming a landlord is a role: responsive maintenance, clear communication, respect for the increase rules and tenants' rights. Played well, it keeps good tenants and protects your return. Played badly, it generates vacancy, conflicts and unexpected costs.

EMILIE'S TIP

Treat your plex like a small business from day 1: files in order, expenses recorded, professional communication with tenants. It pays off day to day and at resale.

IN PRACTICE

Action plan

Your next steps, concretely.

This week

1. Decide on the target number of units and my unit to live in.
2. Meet a mortgage broker used to plexes.

Within 30 days

1. Build my net-cost calculation with realistic rents and expenses.
2. Analyze the leases and the occupancy scenario before making an offer.

Next

1. Make a conditional offer (inspection, financing, review of the leases).

Before buying my plex

1. Have my down payment and capacity (rents included) confirmed by a mortgage broker.
2. Obtain the leases, the rent history and the detailed building expenses.

REFERENCES

Resources & glossary

- Owner-occupant: an owner who lives in one of the units of their building.
 - Plex: a building of 2 to 4 units (duplex, triplex, quadruplex).
 - Net housing cost: total expenses minus rents collected.
 - Repossession of a dwelling: a regulated procedure to occupy a rented unit.
 - Vacancy: a period without a tenant, to be budgeted.
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- Owner-occupant: an owner who lives in one of the units of their building.
 - 1 to 4 units: residential category, more advantageous financing.
 - Net cost: the building's total expenses minus the rents collected.
 - Lease: a rental contract that follows the building when it's sold.
 - Administrative Housing Tribunal (TAL): the body governing landlord-tenant relations.

GOING FURTHER

Quiz — test your knowledge

1. An owner-occupant of a plex benefits above all from:

- A) No advantage
- B) Advantageous down-payment rules (1 to 4 units)
- C) A tax exemption
- D) Free rents

2. The net housing cost is calculated as:

- A) Mortgage alone
- B) Total expenses minus the rents collected
- C) Rents only
- D) Purchase price $\div$ 12

3. Beyond 4 units, the building is treated as:

- A) Standard residential
- B) An income property with different rules
- C) A condo
- D) A cottage

4. In Quebec, when you buy a plex, the leases:

- A) Are cancelled
- B) Follow the building and you take over the tenants
- C) Must be rewritten
- D) Disappear

5. To occupy a unit that's already rented, you must:

- A) Simply ask the tenant to leave
- B) Respect the strict rules for repossession of a dwelling
- C) Wait 10 years
- D) Nothing

6. A good plex project should hold up:

- A) Only if everything is perfect
- B) Even with a temporary vacancy and a surprise
- C) With no reserve at all
- D) Without tenants

7. Managing a plex means:

- A) Doing nothing
- B) Running a small business (maintenance, records, relations)
- C) Only collecting money
- D) Forbidden on a first purchase

8. A long-term advantage of the plex is:

- A) No value
- B) An asset that gains value and can launch a portfolio
- C) Tax exemption
- D) Rents guaranteed for life

Answer key

- 1. **B** — The occupant status unlocks better conditions (ch. 2).
- 2. **B** — You subtract the rents from the expenses (ch. 3).
- 3. **B** — Higher down payment, profitability analysis (ch. 2).
- 4. **B** — Leases follow the building (ch. 4).
- 5. **B** — Repossession is heavily regulated (ch. 4).
- 6. **B** — You plan for vacancy and surprises (ch. 3).
- 7. **B** — It's a small business to run seriously (ch. 5).
- 8. **B** — It's a wealth-building springboard (ch. 1).

Signé PAR Em

*Thank you for reading. May this guide help you
decide with confidence, with all the information
in hand.*

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